HARMONIOUS

DUE DILIGENCE

Portfolio Company Due Diligence Questionnaire

17 sections · 135 questions · for companies at every stage, from pre-seed to growth.

How to complete this questionnaire

- Answer every question marked All. Questions marked Growth apply to companies at Series B or later, or with meaningful revenue. Earlier companies may answer them if they apply or write N/A.
- Keep answers short and factual. Where a document is requested, attach it or say where it can be found in your data room.
- If an answer is No, None or Not applicable, write that rather than leaving it blank, so the fund knows the question was considered.
- Mark any answer or document you consider confidential. If you need a confidentiality agreement before sharing, ask the fund manager.
- Tell the fund promptly if anything changes before the investment closes.

All stages — Every company answers.

Growth — Series B or later, or companies with meaningful revenue.

Company information

Company legal name	Trade name (if different)	Website
State or country of formation	Current stage	Round being raised
Requesting fund	Prepared by (name and title)	Email
Phone	Date completed	

1. Company Overview and Structure

Who the company is, how it is organized and where it operates.

1.1 Provide the company's full legal name, any trade names, the state or country of formation, and the date of formation. — All stages

Please provide: Certificate of incorporation or formation ☐ Attached

1.2 Describe the business in two or three sentences: what you sell, to whom, and why customers buy it. — All stages

1.3 What type of entity is the company (for example C corporation or LLC)? Has it ever converted from another entity type? — All stages

1.4 List every parent, subsidiary and affiliated entity with its jurisdiction and the company's ownership percentage. — All stages

Please provide: Organizational chart ☐ Attached

1.5 List the headquarters and every other office or facility, and whether each is owned or leased. — All stages

Please provide: Real estate leases ☐ Attached

1.6 List every state and country where the company is registered or qualified to do business. — Growth

Please provide: Certificates of good standing ☐ Attached

1.7 Has the company changed its name, merged, reorganized or acquired another business? Describe each event.

All stages

Please provide: Merger or acquisition agreements ☐ Attached

1.8 Provide the company website and current investor materials.

All stages

Please provide: Pitch deck and one-page summary ☐ Attached

2. Leadership, Board and Governance

The people who run the company and how decisions are made.

2.1 List each founder and executive with title, start date, ownership percentage and a short biography.

All stages

Please provide: Biographies or resumes ☐ Attached

2.2 List current directors and board observers, who appointed each, and any board committees.

All stages

2.3 Describe how major decisions are approved, including any stockholder or investor approval rights.

All stages

Please provide: Bylaws or operating agreement ☐ Attached

2.4 Has any founder, executive or director been subject to a criminal proceeding, regulatory action, bankruptcy, or civil fraud claim? If yes, describe.

All stages

2.5 Do any founders or executives hold outside jobs, board seats or business interests that take meaningful time or could conflict with the company? All stages

2.6 Describe any transactions between the company and its founders, executives, directors, investors or their family members. All stages

Please provide: Related-party agreements ☐ Attached

2.7 Have all founders and executives signed confidentiality and invention assignment agreements with the company? All stages

Please provide: Signed founder and executive agreements ☐ Attached

2.8 Which roles would be hardest to replace? Describe succession plans for those roles. Growth

2.9 Provide board and stockholder minutes and written consents for the last three years. Growth

Please provide: Minutes and written consents ☐ Attached

2.10 Does the company have written conflict of interest, code of conduct and whistleblower policies? Growth

Please provide: Governance policies ☐ Attached

3. Capitalization and Financing History

Ownership, past rounds and any obligations that affect the cap table.

3.1 Provide a fully diluted capitalization table showing every holder of stock, options, warrants, SAFEs and convertible notes. All stages

Please provide: Fully diluted cap table ☐ Attached

3.2 List every financing round with date, instrument, amount raised, price or valuation cap, discount and lead investor. All stages

Please provide: Financing documents for each round ☐ Attached

3.3 List all outstanding SAFEs and convertible notes with principal, interest rate, valuation cap, discount and maturity date. All stages

Please provide: SAFEs and convertible notes ☐ Attached

3.4 Describe the equity incentive plan: total pool, shares granted, shares vested and shares still available. All stages

Please provide: Equity plan and option ledger ☐ Attached

3.5 Describe vesting, acceleration, repurchase rights and transfer restrictions on founder shares. All stages

Please provide: Founder stock purchase agreements ☐ Attached

3.6 Were 83(b) elections filed on time for all restricted stock? All stages

Please provide: 83(b) elections with proof of filing ☐ Attached

3.7 Describe existing investor rights: liquidation preferences, anti-dilution, pro rata rights, board seats, voting agreements, and rights of first refusal or co-sale. All stages

Please provide: Investor rights, voting and first refusal agreements ☐ Attached

3.8 When was the most recent 409A valuation completed, and what was the common stock value? All stages

Please provide: Most recent 409A valuation report ☐ Attached

3.9 Has anyone been promised equity that is not yet documented (advisors, employees, partners or service providers)? All stages

3.10 List all loans, credit lines, venture debt, liens and guarantees with key terms and covenants. All stages

Please provide: Loan and security agreements ☐ Attached

3.11 Is the company in compliance with every loan covenant? Growth

3.12 Have there been any secondary sales, share repurchases or redemptions? Describe. Growth

4. Product, Technology and Intellectual Property

What the company has built and whether it clearly owns it.

4.1 Describe the product or service, its current stage (concept, prototype, beta or launched) and the roadmap for the next 18 months. All stages

Please provide: Product roadmap ☐ Attached

4.2 What problem does the product solve, and what makes it hard to copy? All stages

4.3 Describe the technology and architecture at a high level, including key components licensed from others. All stages

4.4 List all patents, patent applications, trademarks, copyrights and domain names, with owner and status. All stages

Please provide: Intellectual property schedule ☐ Attached

4.5 Has every founder, employee and contractor who created company technology assigned their rights to the company? All stages

Please provide: Invention assignment agreements ☐ Attached

4.6 Did any founder or employee develop company technology while employed by another company or a university? All stages

4.7 Does the company license intellectual property to or from anyone? Describe the terms. All stages

Please provide: License agreements ☐ Attached

4.8 Has anyone claimed the company infringes their intellectual property, or has the company claimed infringement by others? All stages

4.9 Does the product use artificial intelligence or machine learning? Describe the data used and the company's rights to that data. All stages

4.10 Does the product include open source software? Describe the licenses used and how compliance is managed. Growth

Please provide: Open source inventory ☐ Attached

4.11 Describe development practices: team size, release frequency, testing and any significant outages in the last two years. Growth

5. Market, Customers and Competition

Who buys, why they buy and who else competes for them.

5.1 Describe the target market and customer profile, with your estimate of market size and its sources. All stages

5.2 List your main competitors and alternatives, and how you compare on product, price and distribution. All stages

5.3 What are the main barriers to entry, and how will you defend your position? All stages

5.4 Describe the go-to-market strategy and primary sales channels. All stages

5.5 Describe pricing and how it has changed over time. All stages

Please provide: Current price list ☐ Attached

5.6 Does any single customer, partner or supplier account for more than 10% of revenue or purchases? All stages

5.7 Which suppliers or partners would materially affect the business if lost? All stages

5.8 List your top 10 customers by revenue for the last 12 months, with share of revenue and contract term. Growth

Please provide: Top customer list ☐ Attached

5.9 Have you lost any significant customers in the last 24 months? Why? Growth

5.10 Provide customer references the fund may contact. Growth

Please provide: Customer reference list ☐ Attached

6. Traction and Key Metrics

Evidence of progress and the numbers you manage the business by.

6.1 Provide monthly revenue or bookings for the last 24 months, or since launch. All stages

Please provide: Monthly revenue report ☐ Attached

6.2 List the key metrics you track, with definitions and recent values (for example users, recurring revenue, retention, churn, acquisition cost, lifetime value, gross margin). All stages

Please provide: Metrics dashboard ☐ Attached

6.3 What milestones will this funding achieve, and by when? All stages

6.4 Describe the sales pipeline by stage, value and expected close date.

Growth

Please provide: Pipeline report

☐ Attached

6.5 Provide cohort retention or net revenue retention data.

Growth

Please provide: Cohort analysis

☐ Attached

6.6 What assumptions drive your forecast, and how have past forecasts compared with actual results?

Growth

7. Financial Information

Historical results, current cash position and financial controls.

7.1 Provide income statements, balance sheets and cash flow statements for the last three fiscal years and year to date.

All stages

Please provide: Financial statements

☐ Attached

7.2 Are the statements audited, reviewed, compiled or prepared internally? Name the accounting firm, if any.

All stages

Please provide: Audit or review reports

☐ Attached

7.3 Provide the current budget and a three-year projection with assumptions.

All stages

Please provide: Budget and financial projections

☐ Attached

7.4 What are the current cash balance, average monthly net burn and runway in months? All stages

7.5 Are there any off-balance-sheet arrangements, contingent liabilities or guarantees? All stages

7.6 Has the company received any government grants, loans or subsidies? Describe any conditions or repayment obligations. All stages

Please provide: Grant or government loan agreements ☐ Attached

7.7 Are the books kept on a cash or accrual basis? Describe revenue recognition policies. Growth

7.8 Provide accounts receivable and accounts payable aging reports. Growth

Please provide: Receivable and payable aging ☐ Attached

7.9 Describe any deferred revenue, customer prepayments or refund obligations. Growth

7.10 Describe financial controls: who approves payments, how often accounts are reconciled and how duties are separated. Growth

7.11 List all bank and payment accounts and their authorized signers. Growth

7.12 Has your accountant or auditor raised any material weaknesses or significant adjustments? Growth

Please provide: Auditor management letters ☐ Attached

8. Tax

Filings, open matters and tax attributes that affect value.

8.1 List every jurisdiction where the company files tax returns, and provide returns for the last three years. All stages

Please provide: Federal and state tax returns ☐ Attached

8.2 Are all returns filed and all taxes paid? Are any audits, notices or disputes open? All stages

Please provide: Tax notices or correspondence ☐ Attached

8.3 Are payroll taxes current? Could any contractors be reclassified as employees? All stages

8.4 Has the company tracked whether its stock may qualify as qualified small business stock under Section 1202 (including gross assets at each issuance)? All stages

8.5 Does the company collect and pay sales, use or value-added tax where required? Growth

8.6 Has the company claimed research and development tax credits? Provide support. Growth
Please provide: Research credit study ☐ Attached

8.7 Does the company have net operating losses, and could an ownership change limit them? Growth

8.8 Does the company have operations, employees or related entities outside the United States that create tax obligations? Growth

9. Legal and Litigation

Disputes, claims and the advisers who handle them.

9.1 Is the company involved in, or aware of a threat of, any lawsuit, arbitration, government investigation or claim? All stages
Please provide: Complaints, demand letters or notices ☐ Attached

9.2 Describe any litigation in the last five years and its outcome. All stages

9.3 Are there any judgments, settlements, consent orders or injunctions against the company? All stages

Please provide: Settlement agreements and orders ☐ Attached

9.4 Has any former founder, employee or adviser claimed equity, pay or ownership in the company? All stages

9.5 Identify the company's outside legal counsel and accounting firm. All stages

10. Material Contracts

Agreements that drive revenue, cost or restrictions on the business.

10.1 Provide every contract that is material to the business, including any worth more than $50,000 a year. All stages

Please provide: Material contracts ☐ Attached

10.2 Do any contracts include exclusivity, non-compete, most-favored-nation, minimum purchase or change-of-control terms? All stages

10.3 Is the company in breach of any contract, or has it received notice of a breach? All stages

10.4 Provide standard customer terms, supplier terms and partnership agreements. All stages

Please provide: Standard customer and supplier terms ☐ Attached

10.5 Would this investment or a future sale require consent from any contract party? Growth

10.6 List any government contracts and any security clearance or set-aside requirements. Growth

Please provide: Government contracts ☐ Attached

11. Regulatory and Compliance

Licenses, oversight and rules that apply to the business.

11.1 List every license, permit, registration and approval the business needs, with its status. All stages

Please provide: Licenses and permits ☐ Attached

11.2 Which regulators oversee the company? Describe any examinations, inquiries or findings. All stages

Please provide: Regulator correspondence ☐ Attached

11.3 Does the company screen customers, partners and investors against sanctions lists? Does it do business in, or with people from, sanctioned countries? All stages

11.4 If the company handles payments, lending, securities or digital assets, describe its licensing and anti-money laundering program. All stages

Please provide: Anti-money laundering program ☐ Attached

11.5 If the company operates in healthcare, food, consumer products, energy or another regulated sector, describe the required approvals and quality systems. All stages

11.6 List all past securities offerings, the exemptions relied on and the filings made (for example Form D and state notice filings). All stages

Please provide: Form D and state notice filings ☐ Attached

11.7 Does the company have an anti-bribery and anti-corruption policy? Does it deal with government officials or government-owned customers? Growth

Please provide: Anti-corruption policy ☐ Attached

11.8 Are any products, software or technical data subject to export controls? Describe classifications and licenses. Growth

11.9 Will any non-U.S. person gain control, board rights or access to sensitive technology through this investment? Growth

11.10 Does marketing follow advertising, email, text message, telemarketing and endorsement rules? Growth

12. Data Privacy and Cybersecurity

How the company protects the information it holds.

12.1 What personal or sensitive data does the company collect, and where is it stored? All stages

12.2 Which privacy laws apply (for example state privacy laws, GDPR, HIPAA or COPPA), and how does the company comply? All stages

Please provide: Privacy policy ☐ Attached

12.3 Describe security controls: access management, multi-factor authentication, encryption, logging, backups and vulnerability testing. All stages

Please provide: Information security policy ☐ Attached

12.4 Has the company had any data breach, ransomware attack or security incident? Describe it and any notices given. All stages

12.5 Does the company sell or share personal data with others? All stages

12.6 Has the company completed an independent security assessment or certification (for example SOC 2 or ISO 27001)? Growth

Please provide: Assessment or certification report ☐ Attached

12.7 Does the company have incident response and business continuity plans? When were they last tested? Growth

Please provide: Incident response and continuity plans ☐ Attached

12.8 How are vendors with access to company or customer data reviewed? Growth

13. People and Human Resources

The team, how it is paid and any employment risks.

13.1 Provide headcount by function and location, separating employees from contractors. All stages

Please provide: Employee and contractor list ☐ Attached

13.2 Describe executive pay: salary, bonus, equity and severance. All stages

13.3 Do all employees and contractors sign agreements covering confidentiality and assignment of their work to the company? All stages

Please provide: Template employee and contractor agreements ☐ Attached

13.4 Are there any employment claims, harassment or discrimination complaints, or wage and hour issues? All stages

13.5 Are any team members bound by non-compete or non-solicitation agreements with former employers? All stages

13.6 Which key hires are planned in the next 12 months? All stages

13.7 Describe employee benefits, including retirement and health plans. Growth
Please provide: Benefit plan documents
☐ Attached

13.8 Does the company complete work authorization checks for every employee? Are any employees on visas? Growth

13.9 Are any employees covered by a union or collective bargaining agreement? Growth

13.10 What was employee turnover in the last 12 months? Growth

14. Environmental, Social and Governance

Impact, responsible business practices and fund restrictions.

14.1 Does the company have environmental impacts, permits or liabilities (for example hazardous materials)? All stages

14.2 Does the company engage in any activity on the fund's restricted or excluded investment list, if the fund provided one? All stages

14.3 Does the company set or report sustainability or impact goals? Growth

Please provide: Sustainability or impact report ☐ Attached

14.4 Describe workforce composition and inclusion policies, if tracked. Growth

14.5 Describe labor practices in the supply chain and any forced labor risk. Growth

15. Insurance and Risk Management

Coverage in place and the risks you are managing.

15.1 List each insurance policy with carrier, coverage type, limits and renewal date (for example general liability, directors and officers, errors and omissions, cyber, property and workers' compensation). All stages

Please provide: Certificates of insurance ☐ Attached

15.2 What are the five biggest risks to the business, and how are you addressing each? All stages

15.3 Is there anything that could materially affect the business that has not been disclosed elsewhere in this questionnaire? All stages

15.4 Have any insurance claims been filed or denied in the last three years? Growth

16. Current Round and Use of Proceeds

The financing the fund is being asked to join.

16.1 Describe the current round: instrument, amount, valuation or cap, and investors already committed. All stages

Please provide: Term sheet ☐ Attached

16.2 Provide a detailed use of proceeds.

All stages

Please provide: Use of proceeds schedule

☐ Attached

16.3 How many months will this round fund the company, and what is the plan for the next financing?

All stages

16.4 Are any finders, brokers or placement agents being paid in connection with this round?

All stages

16.5 Are there conditions to closing, such as a minimum raise or required consents?

All stages

16.6 What is the long-term exit strategy, and who are likely acquirers?

Growth

17. Investor Reporting and Information Rights

What the fund will receive after it invests.

17.1 What information will you share with investors, and how often (for example monthly updates, quarterly financials and annual statements)?

All stages

17.2 Will you deliver annual financial statements within 120 days of year end, and the information the fund needs for valuations and tax reporting (including Schedule K-1s if the company is a partnership)? All stages

17.3 Will you notify investors promptly of material events such as new financings, litigation, executive departures or loan defaults? All stages

17.4 Who is the primary contact for investor communications? Provide name, title, email and phone. All stages

Certification

The undersigned, an authorized officer of the company, confirms that to the best of their knowledge after reasonable inquiry the responses and documents provided are true, complete and not misleading, and agrees to notify the requesting fund promptly of any material change before the investment closes.

Name

Title

Signature

Date